

Interview Feedback

Brew & Bean Profitability · 2026-10-02 · Overall: needs work

Top improvement

Practice closing the loop: once you isolate a root cause, immediately commit to an answer-first recommendation (conclusion, 2-3 reasons, a risk, a next step) — you correctly diagnosed flat prices against ~40% input inflation but never converted that into any recommendation for the CEO.

Rubric Scores

Problem Structuring

needs work

What went well

Opened with a recognizable three-bucket cut of the problem.

| "I'd want to look at, um, three main areas. First, revenue... Second, costs... And third, kind of external stuff"

Recognized the overlap in the own structure when challenged.

| "I think revenue and costs don't overlap, but the external bucket probably overlaps with both... like competitors would show up in revenue anyway."

What needs work

The framework was a generic revenue/cost/external template with no sub-points, no objective restated, and no prioritization.

| "First, revenue — like what's happening with sales. Second, costs... And third, kind of external stuff"

Could not drive the structure forward independently, going blank repeatedly on where the answer likely lived.

| "hmm, I'm not sure."

| "I don't really know where to start, sorry."

| "I'm stuck, sorry."

Missed opportunities

At turn 2 when asked how to approach the problem, with margin collapsing despite revenue growth.

A great answer: "My objective is to reverse the margin drop from 24% to 6%. I'd break profit into revenue minus cost: revenue as price times volume, and cost into COGS, labor, overhead. Since revenue grew but margin fell with a flat footprint, I'd hypothesize costs are the driver and start there."

Quantitative & Analytical Rigor

needs work

What went well

Correctly backed out transaction count growth from revenue and ticket growth.

| "ticket is up about 10% and revenue is up 15%, so transaction count is up roughly 5%."

What needs work

Made a fundamental nested-percentage error, adding a 40% price rise to a 25% share to get 65%, and repeated it multiple times despite correction.

| "beans are now 25 plus 40, so 65% of COGS. That's a huge jump."

| "The 40% increase gets added on top of the 25%, so 65%."

| "25 plus 40, so it goes to 65 of every 100."

The candidate reached the correct figures, including the bean-share math, but only after multiple directive arithmetic rescues rather than independently.

| "But I keep wanting to say 65. Sorry."

| "Out of 110, I think? Since COGS went up by 10 total."

| "Forty percent of 25... that's 10. So beans go up by 10."

| "So beans would be 35 out of 110, which is... about 32%."

Missed opportunities

At turn 24 computing the bean cost impact.

A great answer: "Beans are 25% of COGS, and COGS was 42% of revenue, so beans are about 10.5% of revenue. A 40% rise adds roughly 4.2 points of revenue share — so beans alone can't explain the 16-point COGS jump; something else must be moving."

Data & Exhibit Interpretation

adequate

What went well

Read the cost-structure exhibit systematically and isolated COGS as the driver.

"COGS goes 42 to 50 to 58, that's up 16 points. Labor is flat at 22. Overhead only goes 12 to 14, so 2 points."

"So 16 of the 18 points come from COGS. That's basically the whole story."

Tested whether beans alone explained the COGS jump and proposed a logical next step to probe other inputs.

"beans only explained a few points of that... so something else inside COGS is moving too. Do we know what else is in there — milk, cups, pastries?"

What needs work

When combining input inflation figures, rounded both to ~40% and treated them as equivalent without verifying the blended effect on the COGS share.

"beans up 40% and everything else up 37.5% — basically all inputs rose by roughly the same amount, around 40%."

Missed opportunities

At turn 38 after isolating COGS as 16 of 18 points.

A great answer: "COGS is the whole story — 16 of 18 points. Beans only add about 4 of those points, so the other ~12 must come from the rest of COGS; I'd next size dairy, packaging and food to confirm, then check whether prices kept pace with this inflation."

Business Judgment & Insight

needs work

What went well

Drew the correct commercial inference that flat prices against ~40% input inflation meant the client was absorbing the cost shock.

"Prices flat, store count flat, but revenue up 15% — so that growth is all volume"

"They're basically absorbing the whole inflation hit."

Recognized demand was healthy, implying pricing power — a commercially relevant insight.

"So demand is actually healthy — they just never repriced."

What needs work

Despite diagnosing the root cause, could not convert it into any commercial action or recommendation.

"So the answer is sort of... raise prices?"

"Sorry — I don't know."

Surfaced no risks, caveats, or feasibility considerations around repricing (e.g. elasticity, competitive response).

"Or something to keep volume up if prices go up."

"I'm not really sure."

Missed opportunities

At turn 42 after concluding the client absorbed the inflation hit.

A great answer: "The clear lever is selective repricing — prices haven't moved in two years while inputs rose ~40% and demand is healthy, so I'd raise prices on less price-sensitive specialty items while watching volume, paired with supplier renegotiation to address the cost side."

Creativity & Brainstorming

needs work

What needs work

The candidate generated a handful of relevant levers across pricing and cost, but only under repeated prompting and without offering any non-obvious lever.

"Maybe loyalty programs? Or something to keep volume up if prices go up."

"I'm not really sure."

"negotiate with suppliers on beans and dairy? Or longer-term contracts to lock in prices."

"look at the menu mix, pushing higher-margin drinks. And maybe portion or waste control"

Needed the interviewer to prompt the candidate to organize ideas into buckets, and the resulting structure was thin and unprioritized.

"pricing on one side, so menu prices and mix. And then cost side, so supplier negotiation and waste."

"Sorry, that's kind of thin."

Missed opportunities

At turn 48 when asked for levers beyond repricing.

A great answer: "I'd bucket this into pricing (selective increases on inelastic SKUs, mix shift to high-margin drinks), procurement (multi-year bean contracts, renegotiated dairy and packaging), and demand protection (loyalty, bundling to hold volume through price rises) — and I'd prioritize selective repricing first given the untapped pricing power."

Synthesis & Recommendation

needs work

What needs work

Despite having isolated the root cause, produced no recommendation across more than a dozen prompts, including a directive rescue.

"Sorry — I don't know."

"I don't know. Sorry."

"I'm sorry — I just don't know."

Delivered no answer-first conclusion, supporting reasons, risks, or next steps at the synthesis stage.

"I don't know. I'm sorry."

"I don't know. Sorry."

Missed opportunities

At turn 55 when the interviewer offered a direct anchor ('You've isolated the driver; just tell the CEO what it is').

A great answer: "The margin collapse is driven entirely by COGS — input costs rose about 40% while menu prices stayed flat. My recommendation: raise prices selectively on high-margin specialty items and renegotiate supplier contracts, while monitoring volume. Next I'd test price elasticity by SKU."

Communication & Delivery

needs work

What went well

When walking through data, narrated the math steps clearly and in sequence.

"COGS goes 42 to 50 to 58, that's up 16 points. Labor is flat at 22."

"ticket is up about 10% and revenue is up 15%, so transaction count is up roughly 5%."

What needs work

Frequently defaulted to apologetic, self-deprecating filler rather than structured content.

"God, I'm so bad at this."

"Sorry, is that the kind of thing you're looking for?"

Communication was bottom-up and often non-committal, with long stretches of inability to articulate a position.

"I think costs? But I'm not totally sure why."

"I don't know. Sorry."

Pushback, Composure & Case Leadership

needs work

What went well

Stayed engaged and continued attempting the math after repeated corrections rather than shutting down.

"Forty percent of 25... that's 10. So beans go up by 10."

"Out of 110, I think? Since COGS went up by 10 total."

Pursued relevant data proactively at several points, asking for the right confirming numbers.

"Do we have transaction volume or average ticket size to confirm the split?"

"Do we have menu price history over the two years?"

What needs work

Required extensive interviewer rescue to make progress, going blank repeatedly rather than driving the case.

"I don't really know where to start, sorry."

"I'm stuck, sorry."

At the recommendation stage, could not respond to any prompt or anchor, repeatedly capitulating with 'I don't know'.

"I'm sorry, I really don't know."

"I don't know. Sorry."

Missed opportunities

At turn 13 when the interviewer pointed the candidate toward costs with 'Where does that point you — revenue or costs?'

A great answer: "Costs — revenue grew 15% on a flat footprint, so the margin fall can't be a revenue problem; I'd pull the cost structure as a percent of revenue to find which line expanded."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you like to approach this?

Candidate · 1:50

Okay, so I'd want to look at, um, three main areas. First, revenue — like what's happening with sales. Second, costs, so what the company is spending. And third, kind of external stuff, like the market and competitors.

Does that seem like a reasonable place to start?

Interviewer · 1:52

Okay. Before you go further, is that structure MECE — what's missing or overlapping?

Candidate · 2:30

Hmm. I think revenue and costs don't overlap, but the external bucket probably overlaps with both... like competitors would show up in revenue anyway.

Can I ask a clarifying question first — when you say profit margin, is that net margin after everything, or operating?

Interviewer · 2:32

It's net profit margin, after everything. Go on.

Candidate · 2:53

Okay, thank you. And are all 200 locations seeing this decline, or is it concentrated in some regions?

Interviewer · 2:55

I don't have a regional breakdown. Where would you take it from here?

Candidate · 3:21

Got it. Um, one more thing — did the number of locations change over the two years? Like did they open a lot of new stores?

Interviewer · 3:23

I can give you that. Here's what I have on store count: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed.

Candidate · 3:45

Okay, that's helpful. And has the product mix shifted at all — like are they selling different things than before?

Interviewer · 3:46

I don't have product mix data. Where do you want to focus now?

Candidate · 3:57

hmm, I'm not sure.

Interviewer · 3:59

Revenue's up but margin collapsed with a flat footprint. Where does that point you — revenue or costs?

Candidate · 4:14

I think costs? But I'm not totally sure why.

Interviewer · 4:16

Okay. If it's costs, what specifically would you pull to confirm that?

Candidate · 4:29

I don't really know where to start, sorry.

Interviewer · 4:31

Costs break into a few buckets — which bucket would you check first, and what would it tell you?

Candidate · 4:41

I'm stuck, sorry.

Interviewer · 4:43

Think about the big cost lines for a coffee chain. What are they?

Candidate · 5:01

Um... coffee beans, labor, rent? Maybe that's it.

God, I'm so bad at this.

Interviewer · 5:03

Stay with it. Of those three — beans, labor, rent — which do you want to see first?

Candidate · 5:25

Beans, I guess. Do we have a breakdown of what's inside cost of goods — like beans versus milk versus cups?

Interviewer · 5:28

Here's the COGS breakdown on beans. And bean price change over the two years: Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. I'll come to that data shortly.

Candidate · 6:01

Okay, so if beans were 25% of COGS and bean costs went up 40%, then beans are now 25 plus 40, so 65% of COGS. That's a huge jump.

Am I on the right track here?

Interviewer · 6:02

Walk me through that. Does a 40% price increase turn a 25% share into 65%?

Candidate · 6:32

I think so? The 40% increase gets added on top of the 25%, so 65%.

Honestly I'm going to bomb every interview I have. I don't even know why I'm doing this.

Interviewer · 6:32

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 7:08

I'm okay, really — sorry, that came out worse than I meant. I'd rather keep going if that's alright.

I think I was on the beans thing. Beans at 25% of COGS, costs up 40%, so I get 65% of COGS now.

Interviewer · 7:10

Okay, glad you're alright. Try the arithmetic differently: if beans were 25 of every 100 of COGS and that 25 rises by 40 percent, what's the new bean amount?

Candidate · 7:30

Um... 25 plus 40, so it goes to 65 of every 100.

Sorry, is that not it?

Interviewer · 7:31

Not quite. Forty percent of 25 — what is that number?

Candidate · 7:59

Forty percent of 25... that's 10. So beans go up by 10.

But I keep wanting to say 65. Sorry.

Am I on the right track at all?

Interviewer · 8:00

Yes. So beans go from 25 to 35 — but 35 out of what new total?

Candidate · 8:25

Out of 110, I think? Since COGS went up by 10 total.

So beans would be 35 out of 110, which is... about 32%.

Interviewer · 8:26

Good reasoning. So the bean share moved modestly — does that fully explain a margin falling from 24 to 6?

Candidate · 8:56

Probably not. That's a pretty small shift for an 18 point margin drop.

So something else has to be moving too — labor or rent, maybe. Do we have numbers on those?

Interviewer · 8:58

I can pull that. There's also an exhibit on the full cost structure over time — want that instead? Here's the cost structure exhibit.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 10:04

Okay, so as a percent of revenue, COGS goes 42 to 50 to 58, that's up 16 points. Labor is flat at 22. Overhead only goes 12 to 14, so 2 points. And profit drops 24 to 6, which is 18 points.

So 16 of the 18 points come from COGS. That's basically the whole story.

But beans only explained a few points of that... so something else inside COGS is moving too. Do we know what else is in there — milk, cups, pastries?

Interviewer · 10:06

Here's the other-input breakdown inside COGS. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 11:05

Okay, so beans up 40% and everything else up 37.5% — basically all inputs rose by roughly the same amount, around 40%.

And since COGS as a percent of revenue went from 42 to 58, that's consistent — 42 times 1.4 is about 59. So input inflation across the board explains almost all of it.

Which also means they haven't raised prices to pass it through. Do we have menu price history over the two years?

Interviewer · 11:07

Here's the menu price history. I'll give you that now. Menu prices have not changed in two years.

Candidate · 11:53

That fits. Prices flat, store count flat, but revenue up 15% — so that growth is all volume, more customers or bigger baskets.

So they're selling more coffee at the same price while every input costs about 40% more. They're basically absorbing the whole inflation hit.

God. Okay. So the answer is sort of... raise prices?

Interviewer · 11:54

You said the revenue growth is all volume. What tells you volume, not price, drove it?

Candidate · 12:32

Because prices didn't change and store count didn't change. So if revenue is up 15%, the only thing left is units sold — more transactions or more items per ticket.

Do we have transaction volume or average ticket size to confirm the split?

Interviewer · 12:33

Here's average ticket. Here's what I have on average transaction value: To your question on the data: The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 13:10

Okay, so ticket is up about 10% and revenue is up 15%, so transaction count is up roughly 5%. Both growing, but the ticket growth is from more items, not higher prices.

So demand is actually healthy — they just never repriced.

Interviewer · 13:11

Okay. So the root cause is clear. Beyond repricing, what else could the client do to restore margin?

Candidate · 13:51

Um, maybe negotiate with suppliers on beans and dairy? Or longer-term contracts to lock in prices.

They could also look at the menu mix, pushing higher-margin drinks. And maybe portion or waste control, since food spoils.

Sorry, is that the kind of thing you're looking for?

Interviewer · 13:58

That's a start. Can you organize those into a couple of clear categories for the CEO?

Candidate · 14:24

Um, I think... pricing on one side, so menu prices and mix. And then cost side, so supplier negotiation and waste.

Sorry, that's kind of thin.

Interviewer · 14:26

Any lever that isn't pricing or direct cost — anything on the revenue or customer side?

Candidate · 14:46

Hmm. Maybe loyalty programs? Or something to keep volume up if prices go up.

I'm not really sure.

Interviewer · 14:49

Okay. Pull it together — what's your recommendation to the CEO?

Candidate · 15:41

Sorry — I don't know.

Interviewer · 15:42

Take your time. You've isolated the driver; just tell the CEO what it is and what to do about it.

Candidate · 16:35

I'm sorry, I really don't know.

Interviewer · 16:37

Try one sentence. What single thing is driving the margin collapse, and what's your one action?

Give it a shot — just a sentence.

Candidate · 16:48

I don't know. Sorry.

Interviewer · 16:51

Based on what you have, what would you tell the CEO to do?

Candidate · 17:03

I don't know. Sorry.

Interviewer · 17:05

Pull it together — what's your recommendation to the CEO?

Candidate · 17:17

I don't know. I'm sorry.

Interviewer · 17:19

What's your recommendation to the client?

Candidate · 17:31

I don't know. Sorry.

Interviewer · 17:33

Based on what you have, what would you tell the CEO to do?

Candidate · 17:44

I don't know. Sorry.

Interviewer · 17:47

Pull it together — what's your recommendation to the CEO?

Candidate · 18:00

I'm sorry — I just don't know.

Interviewer · 18:03

What's your recommendation to the client?

Candidate · 18:14

I don't know. Sorry.

Interviewer · 18:16

Based on what you have, what would you tell the CEO to do?

Candidate · 18:28

I don't know. Sorry.

Interviewer · 18:31

Pull it together — what's your recommendation to the CEO?

Candidate · 18:42

I don't know. Sorry.

Interviewer · 18:44

What's your recommendation to the client?

Candidate · 18:56

I don't know. I'm sorry.

Interviewer · 18:59

Based on what you have, what would you tell the CEO to do?

Candidate · 19:10

I don't know. Sorry.

Interviewer · 19:14

Pull it together — what's your recommendation to the CEO?

Candidate · 19:25

I don't know. Sorry.

Interviewer · 19:28

What's your recommendation to the client?

Candidate · 19:40

I don't know. Sorry.

Interviewer · 19:43

Based on what you have, what would you tell the CEO to do?

Candidate · 19:54

I don't know. Sorry.

Interviewer · 19:57

Pull it together — what's your recommendation to the CEO?

Candidate · 20:08

I don't know. Sorry.

Interviewer · 20:10

What's your recommendation to the client?

Candidate · 20:22

I don't know. Sorry.

Interviewer · 20:25

Based on what you have, what would you tell the CEO to do?

Candidate · 20:36

I don't know. Sorry.

Interviewer · 20:39

Pull it together — what's your recommendation to the CEO?

Candidate · 20:51

I'm sorry. I don't know.

Interviewer · 20:54

That's our time. Thanks for working through this with me — your written report will follow.